

BEFORE THE
FEDERAL MARITIME COMMISSION

DOCKET NO. 24-19

PELOTON INTERACTIVE, INC.
Complainant

VERSUS

FLEXPORT INTERNATIONAL LLC,
Respondent

RESPONDENT'S REPLY TO MOTION TO DISMISS AND FOR SANCTIONS

COMES NOW, Respondent, Flexport International, LLC ("Flexport"), by and through the undersigned counsel, hereby files this, its Reply Memorandum, to its Motion for Sanctions against Complainant Peloton Interactive, Inc. ("Peloton") [Doc. 54], and in support thereof, Flexport states as follows:

I. Preliminary Statement.

The undersigned is at a complete loss to understand how Peloton could have filed its Opposition. The Motion to Dismiss highlights the actions of Peloton and its counsel in making multiple misrepresentations throughout the course of this litigation, of not having a good faith basis to bring the claims, of unnecessarily protracting this frivolous litigation, and deliberately concealing evidence that goes to the very heart of the case. In response, Peloton and its counsel barely address these arguments, instead making erroneous legal arguments regarding the pleadings and the Scheduling Order (arguments which have already been rejected), pointing out Flexport's

failure to provide discovery (which is patently false) and making many, many additional misrepresentations in a transparent attempt to distract the ALJ from its very actions being complained of in the Motion.

a. Notice of Supplemental Authority.

Although it may seem counter-intuitive as a starting point, Flexport will first address Peloton's arguments that Flexport's Notice of Supplemental Authority should be disregarded. As will be shown, the Supplemental Authority is very relevant to this Matter.

First, Peloton takes issue that Flexport filed its Notice "late" – five days after the Motion was filed, and did not contain any explanation as to why this was delayed.

Second, Peloton takes issue that Flexport did not explain why it filed the Notice.

To be clear, Flexport did not file the Notice to be a supplement to this Motion at all. Rather, as the Notice states, "the decisions may be relevant to the pending decisions in this matter." It is noted it would have been improper for Flexport to state anything further, or provide any reason why it would be relevant, as such would have constituted a supplemental briefing.¹

Regarding the "late" notice, it is difficult to understand why Peloton takes issue with this. The undersigned was not aware of the decisions until April 29, 2025 and, after review of the lengthy decisions, promptly filed the Notice. But now let us get to the real reason why Peloton does not want the Commission to be aware of its own decisions.

In the matter of *Samsung Electronics America, Inc. v. ZIM Integrated Services* [Docket 22-30], the Complaint therein alleges violations by ZIM of the Shipping Act which have remarkable similarity to the claims alleged in this litigation. This is not surprising since the claimant is represented by the same counsel as Peloton. As in the instant matter, Samsung claimed that it

¹ It is also noted that a similar notice was also filed in several pending actions. See Dockets 24-09; 24-01; 23-01; 24-09; 24-16; 24-17 and 23-01. Notably, most of these actions were filed by the same counsels representing Peloton here.

should not be liable for D&D charges under “store-door” terms. Again, as noted in Flexport’s Motion, this phrase has been essentially coined by Peloton’s counsel and used in all six (6) of the actions they have filed before the FMC in the last three (3) years. The term is rarely – if ever – used in this industry.

Regardless, it was the position of Samsung – as with Peloton here – that charging D&D for “store-door” haulage is an unreasonable practice and a violation of the Shipping Act. Yet, the Initial Decision entered in *Samsung* provided clearly that “charging demurrage for store-door / carrier haulage is not found to be an unreasonable practice.” [Doc. 60 at p. 3].

The basis for the decision was that “[Samsung] does not present evidence necessary to determine which specific detention and demurrage charges were the fault of ZIM, particularly given that some charges were due to SEA’s customers’ inability to accept deliveries...” *Id.*

And this is exactly the situation we are confronting in the instant matter. It cannot be disputed that a great deal of the charges were due to Peloton’s inability to receive cargo at its facilities. And Peloton has not presented, and indeed will not be able to present, evidence to enable the Commission to determine which specific D&D charges were the fault of Flexport.

That is precisely why the motion to dismiss was filed – because not only has Peloton failed to present any such evidence in discovery at all, but to the extent it even exists Peloton and its counsel have deliberately concealed this very evidence! That is why this Supplemental Authority is so very important.

To be sure, Flexport has vehemently disputed that it provided “store-door” transportation at all – as evidenced by the MSA, the hundreds of NRAs and the corresponding bills of lading, which all clearly reference the “CY-CY” shipments. To be clear, Flexport did not issue a single through bill of lading for any shipment at issue.

Also to be clear, Flexport has never argued at all that it was not responsible for arranging for the inland delivery for many of the subject shipments and did so as a transportation broker. Despite the clear terms of the parties' agreements and the CY-CY references in many, many documents, Peloton has insisted that these were "store-door" moves, and thus Peloton should not be responsible for D&D. The *Samsung* decision makes clear that this is just flat out wrong.

The Initial Decision stated the question succinctly as "who is responsible for detention and demurrage charges for store door delivery." (DOC at p. 64). The very next sentence addressed the service contract, which set forth that the D&D charges shall be as set forth in ZIM's Rules Tariffs".

Again, this is the exact same situation between Peloton and Flexport, with the MSAs and NRAs clearly setting forth that the D&D charges shall be assessed in accordance with Flexport's Tariffs. Peloton has admitted this.

As Samsung's (and Peloton's) attorneys alleged: "charging the consignee of cargo under a through bill of lading, i.e., store-door move, for inland D&D charges violates the Incentive Principle because the party being charged is not responsible for the inland movement." [DOC 60 at p. 70]. Yet, this contention was outright rejected by the ALJ since "some of the demurrage and detention charges were incurred due to [Samsung's] customer's inability to accept cargo [and thus] in those situations, the charges would incentivize [Samsung] and its customers to accept the cargo, which would incentivize the flow of cargo." [DOC at p. 70].

The very next sentence of the decision provides that Samsung **"did not provide a shipment-by-shipment analysis of the containers that accrued damages, instead arguing that "ZIM's conduct and practices applied to categories of shipments."** [DOC at p. 70]. As such, "providing sufficient evidence is critical." *Id.* The very next sentence provides: "Given that at least some of the D&D charges were the fault, and therefore responsibility of [Samsung], it cannot be

categorically found that all D&D charges on door/carrier haulage shipments should have been paid by ZIM.” [Doc. 50 at p. 70]. *Id.*

To be clear, the Initial Decision held:

[Samsung] has not established that ZIM is responsible for all of the demurrage and detention charges incurred and has not provided a shipment-by-shipment analysis sufficient to determine why specific containers incurred demurrage and detention charges. [Samsung] has not established that ZIM charging demurrage and detention on store-door delivery with carrier haulage was an unreasonable practice, therefore, these facts do not support a 41102(c) violation. *Id.*

The *Visual Comfort & Co. v. Cosco Shipping Lines*, Docket No 24-01, reinforces the principle that a complainant must show causation of a Shipping Act violation on a **container-by-container basis** – and expressly rejected counsel’s arguments otherwise. [Doc. 103 at p. 29]. The Initial Decision entered therein held, in pertinent part:

[T]he Interpretive Rule requires an inquiry into whether the charge incentivized freight fluidity. Moreover, Complainant essentially tries to prove its case by means of two spreadsheets that purport to represent that each of several hundred charges were for unreasonable detention and demurrage, with little supporting evidence other than circumstantial evidence that Respondent charged high rates and contributed to congestion in 2021 and 2022, and some exemplar emails, none of which pertain to any specific containers at issue.

[Doc. 103 at p. 29]

Given the similarities between the circumstances in the instant matter and these decisions, Flexport provided Notice of Supplemental Authority. But the holdings therein are particularly important given the instant Motion which sets forth either: (1) that Peloton does not have any evidence of Shipping Act violations on a shipment-by-shipment or container-by-container basis; or (2) that Peloton does have such evidence – whether good or bad – and has deliberately concealed same. Either way, given these recent decisions, there is absolutely no reason to continue this matter, which has been permanently tainted by the actions of counsel.

Now we can address the specific arguments of Peloton in its Opposition.

b. The Motion to Dismiss is not repetitive.

Peloton argues that the Motion should be denied because it is merely a repetition of two motions to dismiss filed in this action which have already been denied. [Opp at p. 8]. Peloton ignores some realities, however.

First, Flexport's "first" motion to dismiss, which challenged the sufficiency of the allegations of the Initial Complaint, was essentially granted by the Commission – as Peloton was ordered to Amend its Complaint.

Second, Flexport's "second" motion was not to dismiss but was for judgment on the pleadings. And in its response to the motion for judgment on the pleadings, Peloton argued – as it does again now – that the motion was repetitive of the motion to dismiss and in violation of the Scheduling Order.

Notably, Peloton's arguments that motions were either repetitive and in violation were completely rejected by the ALJ:

Here, Flexport's motion is not merely repetitious of its motion to dismiss, which was filed prior to Peloton's entry of its Amended Complaint and Flexport's Answer; and if a proceeding can be resolved solely on the pleadings, administrative practice would be well served. Regarding Peloton's assertion that the Motion violates the Scheduling Order, such motions typically are not included in the scheduling order.

[Doc. 35 at p. 10].

Peloton not only ignores the clear language of the Order but now actually re-asserts the same frivolous position here.

Third, the "third" motion to dismiss (the instant motion) does not seek dismissal for failure to state a claim, or for judgment on the pleadings – it seeks dismissal based upon the frivolous and sanctionable conduct of Peloton and its counsel. Yet, instead of addressing these arguments,

Peloton spends **8 pages** of its Opposition arguing (without basis) that the motion should be denied because it is repetitive and in violation of the Scheduling Order.

Finally, Peloton curiously cites to ALJ Crovella's ruling in *Visual Comfort & Co. v. Cosco* denying a motion to dismiss at such a late stage in this litigation because it is disfavored by the FMC. This is curious for two reasons. First, *Visual Comfort* is one of the cases for which Flexport identified as Supplemental Authority – and for which Peloton argues in its Opposition that the Initial Decision should be disregarded.

But second, the Order Denying Peloton's Third Motion to Amend the Scheduling Order, addressed the very arguments which Flexport raises in its Motion: "Flexport's response raises new issues that should be addressed **in a separate motion** or briefing after close of discovery...." [Doc. 52 at p.1]

Given the language of this Order, how can Peloton in good faith claim that Flexport's Motion somehow violates the Scheduling Order or the prior ruling of Judge Crovella?

Peloton and its counsel ignored this language and sent the undersigned an email demanding that the motion be withdrawn. It is clear that Peloton and its counsel want to just sweep all of their actions under the rug and spend hundreds of thousands of dollars in briefing. Counsel clearly missed the entire point of the motion to dismiss – that in all fairness, this matter should not be briefed at all but should be summarily dismissed – because of their actions.

c. The Motion is not futile.

Peloton argues that the Motion is futile because the ALJ has already determined that Peloton has sufficiently pled its claims. [Opp. at p. 13]. While Peloton again seems not to grasp the contents of the instant Motion, one of Peloton's incredible arguments must be addressed.

Peloton actually argues that Flexport "reiterates its disingenuous claim that two-thirds of the invoices listed in Exhibit A are time-barred" and that this "contention concerning the timeliness

of the disputed invoices was already rejected in the Presiding Officer's January 29, 2025 Order, which made clear it was not a basis to dismiss the complaint." [Opp. at p. 13-14].

This is an incredible position. In the Motion, Flexport pointed out as an example of counsel's conduct in this action that counsels continued to maintain that the 3-year statute of limitations did not apply despite the fact that the parties were no longer doing business and, as such, the claim seeking a cease and desist order would have no basis. The ALJ summarily rejected this contention at the hearing on March 25, 2025, and Peloton subsequently withdrew the claim. To be clear, the only reason why the motions to dismiss and for judgment on the pleadings were denied with respect to the statute of limitations is because of counsel's representations that the claim seeking a cease and desist order were not subject to the 3-year statute of limitations! [Doc. 35 at p. 4 – 5].

So how on earth, in its Opposition which specifically raised this argument, is Peloton again arguing that the "timeliness of the disputed invoices was already rejected in the Presiding Officer's January 29, 2025 Order, which made clear it was not a basis to dismiss the complaint".

d. This is not just a discovery sanction motion.

Next, Peloton argues that "Flexport's motion seeks dismissal of Peloton's Complaint in its entirety as a sanction for Peloton's alleged failure to comply with discovery. *See Mot.* at 24". [Opp. at p. 14]. Peloton then goes on for several pages on how it didn't fail to comply (which was – and remains – completely untrue).

Yet, nowhere on page 24 of the Motion does Flexport say any of this. Peloton and its counsel not only miss the point entirely, but just seem to want to hide their mistakes under pages and pages of useless argument and blatantly false misdirection that Flexport has in any way failed to comply with the March 26 Order.

The dismissal being sought does not concern mere discovery violations. Rather, the motion concerns the actions of Peloton and its counsel in not only not having a good faith basis to bring the claims, and playing games, but then deliberately concealing information and then claiming it is somehow privileged. The point is that Peloton and its counsels have so tainted this litigation that dismissal is warranted. The fact that Peloton has still not complied with discovery orders and obligations is just an example of the overall behavior.

e. Peloton's response to the allegations of sanctionable conduct.

Peloton only briefly addresses – at the very end of the Opposition – the actual arguments raised in the Motion. Namely, the contradictory testimony of Peloton's witnesses; the assertions of privilege; the multiple references by Peloton's corporate representative to the entire production documents in violation of the ALJ's Order; and the audit. We will address these in turn:

First, Peloton states that it is Flexport's contention that the Peloton witnesses were outright lying. [Opp at p. 20]. Peloton argues that Flexport provides no evidence to support this contention.

But Flexport did not accuse the witnesses of lying. Flexport merely provided evidence – in the form of testimony from four witnesses which were clearly contradictory, and argues that either they were mistaken or not telling the truth.

Second, in addressing the audit, Peloton argues that “Flexport appears to take issue with the fact that counsel assisted in the process of amending the complaint after the proceeding had commenced....” [Opp. at p. 20]. This contention is just difficulty to understand. As set forth in the Motion, it is unclear when counsel were first retained, what their role was with respect to the audit and its findings, or when they prepared Exhibit “A”. Peloton's testimony was completely contradictory on these points. But nowhere did Flexport ever suggest that counsel prepared Exhibit “A” after the proceeding was commenced. Rather, Flexport's entire point was that the audit, and

the documents developed therefrom, were integral to the proceeding and were not only not disclosed, but deliberately concealed by counsel.

Peloton then argues that it “is unclear why Flexport needs more information from Peloton as to its own invoicing practices and decisions, but regardless, the Presiding Officer did not deem Exhibit A insufficient when it denied the Second Motion to Dismiss....” [Opp. at p. 20].

What is truly unclear, however, is what this has to do with anything in the Motion at all. Flexport does not need more information as to Peloton’s invoicing practices and decisions – it sought the very information which Peloton must provide to prove their case, as reflected in the *Samsung* and *Visual Comfort* decisions,.

Next, Peloton addresses the privilege issues, arguing, essentially, that just because the Peloton witnesses did not give identical testimony as to when counsel was hired did not mean that the audit results were improperly withheld. [Opp at p. 16]. Peloton first points out that Peloton has an in-house legal team, who were identified in the privilege log – and Peloton points to a second line in the privilege log which purportedly identifies all of these documents.

Notably, the new privilege log entry is a single email with a reference number, from Michael Perri to Angad Gadhok, cc’d to David Baitman and Bharat Noir, marked attorney-client privileged. There is no date. There is no indication as to what this email is. It is not designated as work product. There is only a vague reference number. But what is telling is that David Beyar is not included at all – the employee who was in charge the audit at the direction of David Baitman. It was instead sent to Angad Gadhok, who was the procurement personnel and who had zero involvement with the audit at all.² [See attached Exhibit “A”].

² Mr. Gadhok not only made no mention of any audit, or invoice at all, but, when asked what his knowledge was regarding Peloton’s claims, he responded only that he was involved in procure-related activities, supporting Peloton’s “operations teams in the space pf logistics and distribution procurement.” See Ex. A.

Moreover – and this is key – as set forth in the Motion (which is not disputed by Peloton) both David Beyar and David Baitman stated that they performed the audit, without any involvement with any counsel.

But Peloton does not address at all the inconsistencies between the testimonies of Mr. Beyar and Mr. Baitman as compared with the testimonies of Ms. Majstrorovic. Instead, Peloton argues that there is no inconsistency in Ms. Majstrorovic's testimony with respect to the involvement of counsel in the audit process. [Opp at p. 16, n. 3].

And then, unbelievably, Peloton (again) outright lies with respect to the testimony of Mr. Baitman. Peloton argues that Flexport “attempts to re-characterize as somehow nefarious the recollections of fact witnesses” and, as an example, argues the following:

Flexport mischaracterizes David Baitman's testimony regarding Peloton's discussions with its counsel that took place after its discussions with Flexport in January or February 2024 regarding the audit. See Mot. at 8-9. **Mr. Baitman's testimony was in reference to discussions about filing an FMC complaint against Flexport—it was not an indication of when Peloton's counsel initially became involved in the audit process.** This is reflected in the deposition testimony that Flexport itself cites in its motion.

Mot. at 8-9 (citing Dep. Baitman, Ex. 2 at 272:10-273:1).

This is just an outright misrepresentation which is completely undermined by the testimony itself – as expressly outlined in the Motion.

“It was completed, but I'm the one who started them auditing it. Like, I'm the one that directed the team to start the audit. I'm the one who directed the team what things to look for in the audit. I'm the one who sat with the team their first couple of audits to say, "Show me how you're doing this." And we agreed to what the process was.” Motion, Ex. 2, at 229:6 – 229:12.

Then, after the discussions with Flexport (in January or February 2024) were unsuccessful, Mr. Baitman suggested that Peloton discuss with in-house counsel the findings of the audit:

“we -- we tried multiple times to talk business to business to Flexport, and they really didn't want anything to do with it. And then they kind of alluded to, "Hey, we need to talk to counsel." So we said, "Okay. I guess they're bringing up that word. We need to go talk to our counsel.”

Ex. 2, at 188:18 – 188:23

“We went to talk to Flexport. Flexport didn't want to talk to us. So then we talked to counsel. And -- so, yeah, it paused a bit when we went to talk to counsel because we wanted to know what our next step should be. We're doing this audit, we're doing this work, we're finding patterns of billing that we really think are shady. And so once we couldn't have a business conversation about it, we did go and talk to our counsel – **our in-house counsel**.”

Ex. 2, at 230:3 – 13.

It would be difficult to believe that Peloton and its counsel would just outright misrepresent the testimony – when it is clearly something that can be readily checked – but this has, unfortunately, been the norm throughout the course of this litigation, which is what caused Flexport to file this Motion in the first place.

Next, Peloton argues that Flexport:

has not demonstrated how conducting an audit with counsel (either in-house or outside counsel) to determine whether Flexport violated applicable laws is discoverable or would affect whether Flexport is indeed liable to Peloton -- it does not go to the “very heart of the case” as Flexport claims.

[Opp. at p. 22].

Peloton misses several points again. First, it is Peloton's burden to prove its case – for each and every invoice – to show that a violation occurred. This audit, by Peloton's own admission, apparently reflects just that. Second, it is completely unclear whether counsel – internal or external – were involved with the audit at all.

And third, regardless of any of the above, as set forth in Motion, the audit and the documents derived therefrom were deliberately not identified in discovery at all. Indeed, the interrogatory which asked for information about Peloton's auditing of invoices mentioned its

standard audit procedures and that Peloton was looking into hiring a third party back in 2022, while deliberately omitting any reference to this audit. The same with the requests for production.

And, of course, Peloton does not address this argument in its Opposition at all.

f. Flexport has fully complied with its discovery obligations and the ALJ's Orders.

Peloton improperly argues in its Opposition that Flexport has not complied with the ALJ's Order of March 26, 2025 with respect to discovery responses. This is outright false and a transparent attempt to misdirect the attention away from counsel's own actions which form the basis of the Motion.

On April 11, 2025, in accordance with the Order, the undersigned confirmed in writing that the policies or procedures in effect from January 1, 2021 to December 31, 2022 relating to the assessment of detention and demurrage charges, or free-time for containers and/or chassis, including whether extensions of free-time would be provided under certain circumstances, were set forth in Flexport's Rules Tariff, the terms of the MSAs, NRAs or NRAs (if applicable) and the regulations and guidelines as set forth by the Federal Maritime Commission. The undersigned also identified (again) all applicable sections Rules tariffs.

On April 25, 2025, the undersigned sent to counsel for Peloton all remaining supplemental production – for the seven (7) shipments for which services were provided prior to May 1, 2021 but which for invoices were issued after May 1, 2021. This included: (1) the Events Download for the period from August 2020 – to April 2021, containing 1,658 lines showing the shipment data of the remaining time period; (2) the Rules Tariffs in effect since September, 2020; and (3) the remaining seven (7) emails between Flexport and third parties.

The undersigned attests that Flexport has fully complied with the Order and that all documents, including all communications with third parties have been provided.

Peloton, on the other hand, has not at all complied with either the Order of March 26, 2025 or April 22, 2025. Specifically, Peloton was Order to provide “a supplemental response to Respondent’s interrogatories with references to Bates numbers for documents responsive to the interrogatories.”

The undersigned asked counsel for Peloton several times when such would be provided and was ignored. Then, as set forth in the Motion, Peloton’s corporate representative testified over two dozen times that the information sought can be found in the voluminous discovery.

Peloton did not provide any supplemental response until April 25, 2025. Notably, the supplemental responses were not in compliance with the Orders. Specifically, although Peloton was admonished at the hearing on March 25, 2025 about the use of boilerplate objections and responses that were “subject to” same, the Supplemental Response, attached hereto as Exhibit “B”, instead reiterates and re-incorporates the general and specific objections.

But worse, despite the clear instructions in the Orders, the Supplemental Responses do NOT identify “references to Bates numbers for documents responsive to the interrogatories” as the ALJ’s Order required. Instead, for several interrogatories, Peloton does not provide an answer at all but instead now just blanketly refers to “the deposition testimony in this case, and to the Expert Reports of John D. McCown and Richard J. Roche.”

In fairness, for a handful of the Interrogatories, Peloton does refer to “tabs” in its “Bates log” which purportedly contain the documents responsive to that interrogatory.

However, the referenced documents in the thousands of items in the spreadsheet do NOT, in fact, respond to the interrogatories at all. For example, Interrogatory # 12 asked Peloton to state, for each subject shipment, the cause of all delays relating to the retrieval and return of the containers. Peloton’s Supplemental response is as follows:

Without waiving its previous objections, Flexport maintained and/or had control over the Flexport platform containing information about the Subject Shipments and therefore, this information is in Flexport's possession. Peloton also refers Flexport to additional examples under the "Flexport," "Carriers," and "Logistics" tab of the bates log.

The tab for "Flexport" contains 12,265 line items. The undersigned picked a line at random – Peloton 59432. This was a Customs Entry Summary issued in November, 2020. The tab "Carriers" contains 2,910 line items. The undersigned picked a line at random – Peloton 48708. This was an internal Peloton discussion regarding air freights and "last mile capacity" – neither of which has anything to do with anything in this case. For the tab "Logistics", the undersigned picked a line at random – Peloton 40179 – which was a spreadsheet showing details of the shipments – without any statement as to any cause of delay – or delay at all.

And this was the exact same response provided by Peloton for Interrogatories # 13 and 14, seeking how Flexport contributed to the delay.

Second – and even worse – is that the responses were not from Peloton at all, but from counsel, who dropped a footnote on page 5 which states "The bates log referred to herein was prepared by counsel and references to the bates log are those of counsel."³

And this was exactly the argument raised in the Motion itself – that counsel has directed the entire litigation, instructed Peloton's corporate representative to refer to the mass document production, and concealed clearly relevant information and documentation.

II. Conclusion.

There is no reason why Flexport – and the Commission – should be further burdened by this completely frivolous matter which has been irreparably tainted by Peloton and its counsel. Sanctions, including outright dismissal and an award of attorney's fees, are warranted.

³ Flexport will provide a status update of the discovery responses under separate filing.

Dated: May 15, 2025

Respectfully submitted,

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CERTIFICATE OF SERVICE

I HEREBY CERTIFY that on May 15, 2025 a true and correct copy of the foregoing was served *via email* to all counsel of record in this matter.

SPECTOR RUBIN, P.A.

By: /s/ Robert Borak
Robert M. Borak, Esq.